SYNTHETIC TEST DATA - FICTIONAL COMPANY - NOT REAL FINANCIAL INFORMATION

Simulated Steel & Power Ltd

Annual Report 2022-23 (SYNTHETIC)

Chairman's Message

Dear Shareholders, during FY2022-23 your Company recorded revenue from operations of Rs. 15,000 crore, a growth of 8.7% over the previous year.

Going forward, we plan to expand our steel capacity from 3.0 MTPA to 4.5 MTPA by FY26 with a capital expenditure of Rs. 4,500 crore, funded through internal accruals and debt.

We expect to reduce net debt to below Rs. 2,000 crore by FY25 and we aim to achieve an EBITDA margin of 20% over the next three years.

We intend to commission a new 120 MW captive power plant which will lower power and fuel costs. The outlook for domestic steel demand remains positive, although volatility in coking coal prices is a key risk.

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Management Discussion and Analysis

Industry outlook: Domestic steel consumption is expected to grow, supported by infrastructure spending. Risks and concerns include volatility in raw material prices, regulatory changes in environmental norms and foreign exchange fluctuations on imported coal.

Our order book for value-added products stood at Rs. 2,150 crore at year end. The Company will continue its debt reduction programme and has a credit rating of AA (Stable).

The Board has adopted a dividend policy targeting a payout of 20% to 30% of standalone profit after tax.

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Independent Auditor's Report

To the Members of Simulated Steel & Power Ltd. Opinion: We have audited the accompanying consolidated financial statements. In our opinion the financial statements give a true and fair view.

Key Audit Matters: Key audit matters are those matters that, in our professional judgment, were of most significance, including the assessment of capital work-in-progress.

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Simulated Steel & Power Ltd
Consolidated Balance Sheet as at 31st March, 2023

(Rs. in crore)

Particulars	Note	As at 31.03.2023	As at 31.03.2022
ASSETS			
Non-current assets			
(a) Property, plant and equipment	3	8,090.00	7,410.00
(b) Capital work-in-progress	3	640.00	560.00
(c) Goodwill	4	200.00	200.00
(d) Other intangible assets	4	150.00	150.00
(e) Investments	5	300.00	300.00
(f) Other non-current assets	6	250.00	250.00
Total non-current assets		**9,630.00**	**8,870.00**
Current assets			
(a) Inventories	7	1,368.49	1,293.04
(b) Trade receivables	8	1,890.41	1,663.56
(c) Cash and cash equivalents	9	450.00	380.00
(d) Bank balances other than (c) above	10	50.00	50.00
(e) Other current assets	11	2,424.62	1,755.18
Total current assets		**6,183.52**	**5,141.78**
Total Assets		**15,813.52**	**14,011.78**
EQUITY AND LIABILITIES			
Equity			
(a) Equity share capital	12	100.00	100.00
(b) Other equity	13	9,439.07	8,106.49
Total equity		**9,539.07**	**8,206.49**
Non-current liabilities			
(i) Borrowings	14	3,300.00	3,000.00
(ii) Lease liabilities	15	80.00	80.00
(iii) Other non-current liabilities	16	220.00	220.00
Total non-current liabilities		**3,600.00**	**3,300.00**
Current liabilities			
(i) Borrowings	17	800.00	700.00
(ii) Lease liabilities	15	20.00	20.00
(iii) Trade payables	18	1,254.45	1,185.29
(iv) Other current liabilities	19	600.00	600.00
Total current liabilities		**2,674.45**	**2,505.29**
Total Equity and Liabilities		**15,813.52**	**14,011.78**

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Consolidated Statement of Profit and Loss for the year ended 31st March, 2023

(Rs. in crore)

Particulars	Note	Year ended 31st March, 2023	Year ended 31st March, 2022
I. Revenue from operations	20	15,000.00	13,800.00
II. Other income	21	100.00	120.00
III. Total income (I+II)		**15,100.00**	**13,920.00**
IV. Expenses			
(a) Cost of materials consumed	22	8,325.00	7,866.00
(b) Employee benefits expense	23	1,200.00	1,104.00
(c) Power and fuel		900.00	828.00
(d) Finance costs	24	360.00	320.00
(e) Depreciation and amortisation expense	3	680.00	600.00
(f) Other expenses	25	1,800.00	1,656.00
Total expenses (IV)		**13,265.00**	**12,374.00**
V. Profit before exceptional items and tax (III-IV)		1,835.00	1,546.00
VI. Exceptional items	26	-	(50.00)
VII. Profit before tax (V+VI)		**1,835.00**	**1,496.00**
VIII. Tax expense:			
(1) Current tax		403.70	329.12
(2) Deferred tax		58.72	47.87
Total tax expense		462.42	376.99
IX. Profit for the year (VII-VIII)		**1,372.58**	**1,119.01**
X. Earnings per equity share (Face value Rs. 10 each)			
(1) Basic (Rs.)	27	137.26	111.90
(2) Diluted (Rs.)		137.26	111.90

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Consolidated Statement of Cash Flows for the year ended March 31, 2023

(Rs. in crore)

Particulars	Year ended March 31, 2023	Year ended March 31, 2022
A. Cash flow from operating activities		
Profit before tax	1,835.00	1,496.00
Net cash generated from operating activities	**2,138.16**	**1,607.08**
B. Cash flow from investing activities		
Purchase of property, plant and equipment	(1,600.00)	(1,400.00)
Proceeds from sale of property, plant and equipment	20.00	20.00
Net cash used in investing activities	**(1,480.00)**	**(1,260.00)**
C. Cash flow from financing activities		
Proceeds from long-term borrowings	700.00	900.00
Repayment of long-term borrowings	(400.00)	(400.00)
Dividends paid	(40.00)	(35.00)
Interest paid	(360.00)	(320.00)
Net cash (used in)/generated from financing activities	**(588.16)**	**(487.08)**
Net increase/(decrease) in cash and cash equivalents	70.00	(140.00)
Cash and cash equivalents at the beginning of the year	380.00	520.00
Cash and cash equivalents at the end of the year	450.00	380.00